

15 LONG-RANGE GOALS

The first long-range goal of any couple should be freedom from debt. It makes no sense to do long-range financial planning in the areas of retirement, inheritance, and education when you still have debts. Eliminate all debts *first* and then use the funds you will have available each month to do the other things. Start with the highest interest rate loans you have, usually credit cards or consumer loans. When those are gone, start on the car loans; when those are paid for, start on your home. If you will stick to this plan, in three years you can be debt-free, except for your home. And if you stick to the plan diligently, using the money you have been paying on your debts to pay on your home, you can be totally debt-free. With discipline, any couple can be totally debt-free. It's a matter of commitment.

In order to do long-term financial planning, you must develop a surplus of money. Once you're debt-free, continue to live at the same spending level and you'll develop a surplus. Obviously, it's hard for God to multiply your assets if you don't have any. As Proverbs 6:6-8 says, "Go to the ant, O sluggard, observe her ways and be wise, which, having no chief, officer, or ruler, prepares her food in the summer, and gathers her provision in the harvest." In other words, take the opportunity when you have a surplus to put some aside for later.

For the majority of families, the surplus years are the first 50 or 60 years of their lives, and the lean years start at 65-plus. The funds you consume now cannot be recovered later. For instance, a \$10,000 car purchased at age 30 doesn't really cost \$10,000. If you save the \$10,000 at 8 percent for 35 years in a retirement account, it will be worth \$147,853. That's what the car *really* costs you.

At some point, every Christian must decide, "How much is enough?" That includes houses, cars, clothes, vacations, et cetera. Otherwise, we simply consume all we make and continually need *more*.

The question is often asked, "Should Christians save for the future or give all surpluses away?" Everything should be bal-